



has been ATF prices, which rose 18.2% year-on-year and 9.2% sequentially in April, following the escalation of tensions in West Asia. Though ATF prices announced on May 1, 2026, were kept unchanged for domestic routes and increased moderately by 5.3% for international operations, high crude oil prices and a weak rupee continue to pose downside risks to the cost structure,” says Shah.

The impact of the dollar on airlines is significant as 35-50% of airlines’ operating expenses—including aircraft lease payments, fuel expenses, and a significant portion of aircraft and engine maintenance expenses—are denominated in dollars. A rupee fall increases costs.

40 | Further, some airlines have foreign currency debt. While domestic airlines also have a partial natural hedge to the extent of earnings from international operations, overall, they have net payables in foreign currency. This natural hedge has taken a hit with international operations disrupted badly due to the war. Airlines operators should watch out for this headwind.

FEELING THE PINCH

Are consumers feeling the pinch? While on the domestic front, airfares have risen by 10-15%, international passengers have seen a hike of almost 40%; these are expected to rise further owing to capacity constraints.

“Someone’s loss is someone else’s gain,” goes the age-old adage. And that seems to be the case here too. As Indian domestic carriers’ international footprint shrinks, foreign carriers are gaining space. According to data by

WHAT AIRLINES ARE DOING

TRIMMING INTERNATIONAL OPERATIONS

LONG-HAUL FLIGHTS BEING CUT DRASTICALLY

UNBUNDLING SERVICES SUCH AS MEALS AND LOUNGE ACCESS

ONLY NECESSARY NON-OPERATIONAL SPENDING

DELAYING APPRAISALS FOR A QUARTER



OAG, the share of foreign airlines’ India-origin international schedule rose to 58.4% in March-May this year, up from 51.2% during the same period in 2025.

Lufthansa-owned Swiss Air’s India departures rose 39% in March-May from last year. Amsterdam-based KLM’s Indian departures rose 19.5%.

Hong Kong-based Cathay Pacific increased its flight schedule by 19%.

In the international sector to and from India, foreign airlines have increased the capacity to occupy the void left by the West Asia carriers too. Indian carriers are on the receiving end as Pakistan airspace is open to foreign carriers, which means shorter flying time.

Analysts concur. Gagan Dixit, researcher of aviation, chemicals, oil & gas sectors at Elara Securities, says reduction in operations by Air India is expected to consolidate IndiGo’s market even more.

“IndiGo’s nearly 50% international departures were linked to the Middle East. So, there is a sudden impact. But, they have routed most of the international capacity to the domestic market or other destinations in Asia. So, this 50% might actually be less than 20%,” says Dixit. He says higher ATF prices have been partly taken care of by an increase in airfares.

“On the domestic side, there is no ATF hike, but airfares have increased. Domestic airfares, which have jumped by 13-15% in the past two months, will remain high for the whole of 2026 if the war continues,” he says.

Dixit adds that the summer schedule has been cut, and this is the first time after Covid that the capacity is declining.

Before the start of the summer